

Debt collectors are third parties hired by a lender to attempt to collect amounts you owe when you're late with your payments; they can be lawyers or companies in the business of collecting unpaid accounts. If your account gets turned over to a debt collector, you can save yourself a lot of grief if you're familiar with your rights under the Fair Debt Collection Practices Act, the federal law that specifies what third-party debt collectors can do.

Collectors are allowed to contact you in person, by mail, telephone, telegram, or fax, but they're not allowed to contact you at inconvenient times, such as before 8 A.M. or after 9 P.M., unless you agree to those times. Debt collectors can't threaten, harass, badger, or abuse you or use false or misleading information. If a debt collector is harassing you or causing other problems, report the incident to your state attorney general's office and the FTC.



Can debt collectors call me at work?

If you or your employer tells the debt collector that your employer doesn't want you to receive collection calls at work, the collector is prohibited under the Fair Debt Collection Practices Act from contacting you at your place of employment.

The Fair Debt Collection Practices Act doesn't apply to employees of the creditor that you owe. They're governed by state laws, which vary from state to state. Consult the consumer information section of your state's website for information about your rights.